

Subject Code [2508000706030003]

Veer Narmad South Gujarat University
Major : DSE-3 - Performance and Compensation Management
(HRM Elective Group)

Course	Major : DSE-3
Course Title	PERFORMANCE AND COMPENSATION MANAGEMENT
Credit	4
Teaching per Week	4
Review / Revision	June, 2025
Minimum weeks / Semester	15 (Lectures, Guest Lectures, Case Study, Presentations, Group Assignments)
Medium of Instruction	English
Purpose of Course	• This course covers two important organisational human resource management activities: performance management and compensation management. Students will learn how organisations develop effective performance management and compensation management systems to achieve organisational goals.
Course Objective	• To provide in-depth knowledge about Compensation and Performance management. • The course will help the students to understand various technicalities regarding compensation and its legislation..
Course Outcome	Upon completion of this course, the student will be able to • Recognize how pay decisions help the organization achieve a competitive advantage. • Analyze, integrate, and apply the knowledge to solve compensation-related problems in organizations. • Design rational and contemporary compensation systems in modern organizations.
Course Content	
Unit 1 Performance Management (20%) • Meaning and concept of: Performance, Performance Appraisal, Potential Appraisal and Performance Management • Distinction between Performance Appraisal and Performance Management • Objectives of PMS • Principles of PMS • Challenges of PMS • Strategies for effective implementation of PMS.	
Unit 2 Performance Management Cycle (30%) • Performance Management Cycle (Four Phase) • Performance Planning: Objectives, Importance, Process • Performance Monitoring: Objectives, Importance, Process, Popular Tools of Performance monitoring • Performance Developing: Performance Coaching and Counselling. • Performance Measurement & Reward: Performance Measurement (360 Degree, Assessment Center, Competency Mapping/Modeling, Balance Score Card and HR Audit), Linking performance and reward.	



Unit 3 Compensation and Reward**(30%)**

- Concept and Definition: Wage, Salary, Compensation, Reward.
- Objective of Compensation and Reward Management
- Job Evaluation- Meaning, Process
- Compensation Determination- Factors and Process
- Wage and salary structure- Broad banding and salary progression
- Components of Compensation (Basic, allowances, Benefits, Incentives, Perquisites)
- Rewards – Meaning, Classification of Rewards (Intrinsic & Extrinsic)
- Incentives – Definition, Types, Essentials of Effective incentive Plan
- Latest trends in Compensation Management – Cafeteria Compensation Plan, VRS Compensation, Employee Stock Option, Digitized Rewards

Unit 4 Compensation Management and its relevant Laws**(20%)**

- Payment Of Wages Act, 1936
- Minimum Wages Act, 1948
- Payment Of Gratuity Act, 1972
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976
- Employees' State Insurance Act, 1948
- Employees' P F & Misc Provisions Act, 1952
- Maternity Benefits Act, 1981

Suggested Reading:

1. Human Resource Management by C.B. Gupta (Sultan Chand & Sons)
2. Human Resource Management by S.S. Khanka (S. Chand & Company)
3. Essentials of Human Resource Management and Industrial Relations by P. Subba Rao (Himalaya Publishing House)
4. Human Resource Management by K. Ashwathappa (Tata McGraw Hill)
5. Human Resource Management by L.M. Prasad (Sultan Chand & Sons)
6. Performance Management and Appraisal Systems by T.V. Rao (Sage)
7. Human Resource Management by Gary Dessler (Pearson)
8. Performance Management Systems and Strategies by Dipak Kumar Bhattacharyya (Pearson)
9. Performance Management by Soumendra N Bagchi (Cengage)
10. Performance Management by C Appa Rao (Biztantra - Dreamtech Press)
11. Compensation Management by Mousumi S Bhattacharya and Nilanjan Sengupta (Excel Books)

